WEEK 2 · LECTURE L2 OF 3 · UNIT I

Maturity Models and Strategic Alignment

Where do we stand? Stage models, capability grids, and why tools must follow strategy.

Part 1	Stage models versus capability grids; what maturity measures
Part 2	Tools follow strategy: four alignment tests
Part 3	In depth: Kotter, Kavanagh, Bersin, Westerman, the digital divide, DPDP and SS2020
Read	Westerman et al. (2014), the maturity framework; Deloitte Human Capital Trends

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HOUR TWO

Maturity Models & Strategic Alignment

0:00 Stage models vs. capability grids · 0:25 Tools follow strategy · 0:45 Positioning exercise

FRAME FIRST

What a maturity model is actually for

An instrument for making an argument about capability legible to people who do not share your expertise.

Its purpose is communication and prioritization — not measurement in any strict sense.

If a student says…

“The model says we are at Level 2.”

The correct reply

“The model does not say anything. You said it, using the model.”

0:03 – 0:12 · INSTRUMENT ONE

The stage model — a ladder of capability

1	**Ad hoc / reactive**	Undocumented, person-dependent	*Recruitment via a shared inbox*
2	**Defined / standardized**	Documented, consistent, some systems	*Three spreadsheets used consistently*
3	**Integrated / managed**	Single source of truth; systems talk	*Not present at GreenLeaf*
4	**Optimized / predictive**	Analytics informs decisions	*Not present*
5	**Transformational**	People systems shape business strategy	*Not present*

Strength: immediately communicable to a Board, implies a sequence, and makes "we cannot do predictive analytics yet" an argument rather than an excuse.

PRESS THESE — THEY ARE EXAMINABLE

Four weaknesses of the ladder

1 The ladder implies inevitability

It suggests every organization should climb. Some GreenLeaf domains are correctly left at Level 2 forever.

2 It averages

One stage for 8,000 people hides that corporate may be at 2 while the gig network is not on the ladder at all.

3 It conflates tooling with capability

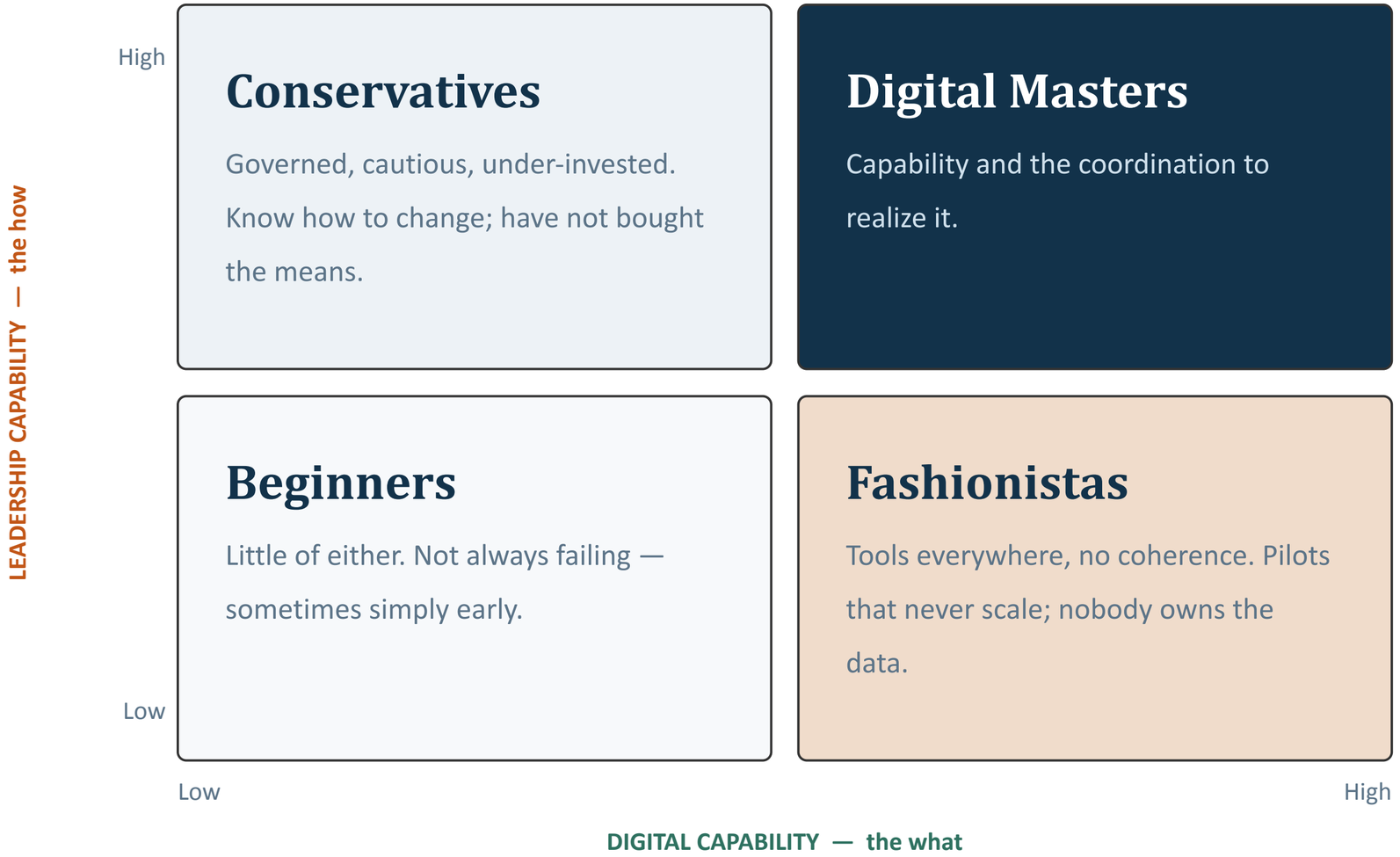
Buying an integrated suite does not confer Level 3. Level 3 is the ability to trust one number — an organizational achievement, not a licence.

4 It is silent on leadership

A firm can hold Level 3 tools with Level 1 governance. This is precisely the gap the next instrument was built to expose.

Held for the whole hour: a stage model tells you where you are in a sequence. It does not tell you why you are stuck.

The Westerman capability grid



The axes are orthogonal.

That is the whole point. A firm can be strong on one and empty on the other — and the two failures need opposite remedies.

Where does GreenLeaf's ATS pilot sit?

THE FINDING THAT PUTS THIS GRID IN THE COURSE

The leadership axis is the scarcer and the higher-returning one.

Firms buy their way rightward because capability is procurable. The upward move requires governance, sequencing and political capital — none of which can be purchased.

Fashionistas often out-spend Digital Masters — and under-perform them.

Weaknesses to name: two axes compress a great deal; "leadership capability" is hard to evidence; the data is large-firm and mostly Western. And it positions — it does not sequence.

0:22 – 0:25 · CARRY THIS INTO THE EXAM

Which instrument answers which question

“Where are we, and what comes next in this domain?”	**Stage model**
“Where should the marginal rupee go — capability or coordination?”	**Capability grid**
“Why has our spending not produced results?”	**Grid — it diagnoses Fashionista**
“What is the sequence for the next eighteen months?”	**Stage model**
“How do we present this to a Board in one slide?”	**Grid**
“How mature is GreenLeaf?”	**Wrong question — see the exercise**

The module list masquerading as a strategy

A sequenced set of purchases with no statement of what business condition will be different afterwards. Seductive because it is concrete, budgetable, and demonstrates activity.

SYMPTOM	WHAT IT INDICATES
Organized by module, not outcome	Vendor-led, not strategy-led
No baseline metric for any target	Success will be unfalsifiable
No owner outside HR	The business has not bought in; adoption fails
Nothing is being stopped to fund it	Additive, therefore under-resourced in practice
The case rests on peer adoption	Mimetic, not strategic
Success is defined as go-live	Implementation confused with impact

0:31 – 0:38

Four alignment tests — as a hostile CFO would ask them

1 The outcome test

"What business number moves, by how much, by when?"

Not "improve engagement" — "raise frontline 90-day retention from X to Y by Q3."

2 The ownership test

"Who outside HR is accountable for that number?"

If the answer is HR, it is an HR project — and HR projects needing store-manager behavior change fail.

3 The sacrifice test

"What are we stopping to fund this?"

One ₹6 crore grant across six rounds, 100 non-renewing Analyst Days. In Disha this is not hypothetical — it is the mechanic.

4 The reach test

"Which workforce segment does this actually touch?"

Serving the 31% with company email is not a transformation of an 8,000-person workforce.

0:42 – 0:45 · GREENLEAF'S ALIGNMENT GAP

Not “GreenLeaf lacks systems.” The sharper version:

The business strategy is omnichannel growth with a fast-expanding last-mile network in Tier-2 and Tier-3 markets.

The people architecture recognizes a corporate, English-fluent, desk-based, email-holding minority.

The workforce the strategy depends on is the workforce the HR systems cannot see.

0:45 – 1:00 · IN PODS

Position GreenLeaf on the grid — with evidence

The rules

- Every placement is justified by a fact from the pack — not an impression
- Four facts in the evidence inventory. Name the axis and the direction each evidences
- Place GreenLeaf twice: corporate, then frontline and gig
- Name the binding constraint — digital capability or leadership capability
- Name one fact you needed and could not find

ANCHOR CHECK

Would the roadmap implied by your corporate placement reach Lakshmi Naidu, GL-1001?

Watch for

- Corporate clusters in Beginner — or, defensibly, Conservative
- The gig network may be off the grid entirely: unmeasured, not low
- The unexamined ATS pilot is the sharpest Fashionista signal in the pack

CLOSING SYNTHESIS

Every pod produced two placements.

Every pod's two placements differed.

That difference is not a modeling error. It is the finding.

GreenLeaf does not have a maturity level.

GreenLeaf has a maturity gap, running straight down the middle of its own workforce.

Any plan that reports one number will be built for the half that already has email.

SESSION MAP

The hour ahead

60 min

0:00

What a stage model claims

The family of theory most of today belongs to

0:12

Kotter

Eight steps, and why the first one decides the rest

0:20

Two ladders and a grid

Kavanagh, Bersin, the critique, then Westerman

0:38

The digital divide

Three levels: Access, Skills, Use

0:48

The compliance frame

DPDP Act 2023 and the Code on Social Security 2020

Leave with this: for each of the six frameworks, what it claims, what evidence would confirm it, and one thing it cannot tell you.

OPENING SOCRATIC DIALOGUE

What is a framework actually *for*?

It selects

Out of several hundred things you could measure about an organization, it tells you which twelve matter and in what order to look at them.

It interprets

It converts a value into a meaning. “Ten per cent automated” is a number; “a Level 1 process being asked a Level 4 question” is a diagnosis.

It predicts — and can be wrong

A framework that cannot fail is not a theory. Each of today's five makes a claim that evidence could contradict. Hold on to that as we go.

Question to hold open

Descriptive or prescriptive? A maturity model tells you where you are. Does it also tell you where you ought to go — and who decided that Level 5 is better than Level 3 for *your* organization?

THE MAP

Six frameworks, four families

PROCESS MODEL OF CHANGE

Kotter (1996)

What has to be true before an organization can change at all — and why most attempts fail at the first step.

MATURITY & POSITIONING

Kavanagh · Bersin · Westerman

How capable is this organization — in its systems, in its analytics, and in its ability to direct what it buys?

STRATIFICATION MODEL

The three-level digital divide

Who is excluded from a digital system, at which layer, and therefore by which remedy? It partitions people; it does not rank firms.

LEGAL FRAME

DPDP 2023 · SS2020

What is the organization obliged to do, regardless of whether it judges the obligation worthwhile?

Three of the six answer **how capable**, one answers **how ready**, one answers **who is left out**, and one answers **what is compulsory**. Confusing the four is the commonest error in this unit.

TWO ROUNDS ARE IN. NOW WE NAME WHAT YOU DID.

You have already used all six frameworks

ROUND 1 — THE DIAGNOSIS

The option you played	The framework underneath it
1A Foundations First	Kavanagh — systems maturity
1B Analytics-First Leap	Bersin — analytics tiers
1C Mobile-First Equity Lens	The three-level digital divide
1D Regulatory Alignment	DPDP 2023 and the Code on Social Security
Every pod — the CFO challenge	Kotter — step 1, urgency

ROUND 2 — THE ARCHITECTURE

Every pod chose 2A, Modular HRMS Core. Every pod named the same System of Record. Zero variance on the headline choice.

Underneath it: between **one and seven** systems retired, and benefit–cost ratios from **0.375 to 1.07** on an identical cost.

The framework underneath 2A was Kavanagh again — Record, then Engagement, then Insight. Two pods named it. Two reached it without a citation.

Three pods diagnosed a **digital divide**. One diagnosed an **analytics deficit**. All four built the same architecture. **So was the diagnosis doing any work?** Hold that question through the hour.

THE FAMILY OF THEORY

What a stage model claims

Maturity models descend from the stage theories of the 1970s and 1980s — Nolan on data processing, later the Capability Maturity Model in software. They all make the same four assertions.

Ordered

The stages form a sequence, not a menu. Level 3 genuinely contains more capability than Level 2, in a defined sense.

Cumulative

Each stage rests on the one below. The lower capability does not disappear when you climb; it becomes the foundation.

Non-skippable

The strongest and most testable claim. Buying a stage-4 capability without stage-3 foundations yields stage-2 outcomes at stage-4 cost.

Diagnosable

Each stage has observable indicators, so an outsider can place an organization without being told where it thinks it is.

Hold the non-skippability claim up to the light. It is what makes the model useful — and it is empirically contestable. Mobile payments in India reached households that never held a bank passbook. **Some ladders can be jumped; the interesting question is which rungs are genuinely load-bearing.**

KOTTER (1995, 1996)

Eight steps, derived from failures

Kotter studied more than a hundred corporate transformations and found that most failed. The eight steps are not a recipe he invented; they are the eight places at which the failures clustered, written in the positive.

CREATE THE CLIMATE

1 Establish urgency
2 Form a guiding coalition
3 Develop a vision and strategy

Nothing here is visible to the wider organization. Skipped most often, because it produces no artefact.

ENGAGE THE ORGANIZATION

4 Communicate the vision
5 Empower broad-based action
6 Generate short-term wins

The rollout. Round 3 of the simulation lives here. Removing obstacles matters more than repeating the message.

SUSTAIN THE CHANGE

7 Consolidate gains
8 Anchor in the culture

Declaring victory at step 6 is Kotter's classic error. Change that is not anchored reverts when its sponsor leaves.

STEP 1 IN DEPTH

Urgency is a condition, not a speech

Complacency arrives free

Kotter's sources of complacency: no visible crisis, comfortable internal metrics, narrow functional goals, low-candour feedback, and leaders who confuse activity with progress. None of these has to be manufactured.

The threshold claim

Kotter's estimate is that roughly **75% of an organization's management** must honestly believe the status quo is more dangerous than the change. Below that, effort dissipates into working groups.

True against false urgency

False urgency is anxious motion — more meetings, more dashboards, more reorganization. True urgency is determination focused on one gap that has been made visible and undeniable.

The mechanism worth naming

Urgency is produced by **evidence**, not by exhortation. A leader who declares that the organization must transform generates compliance. A leader who puts three measured, current, deteriorating numbers on a single page generates urgency.

KAVANAGH — HR TECHNOLOGY MATURITY

The systems ladder: five stages

1

Paper & spreadsheet

Records on paper or in local files. Reporting is manual assembly. Nobody owns the data.

2

Point solutions

A tool per problem. Each works; none speaks to the others. Data is re-keyed between them.

3

Integrated

One system of record, live feeds to the rest. An employee exists once. Reporting becomes routine.

4

Optimized

Processes redesigned around the data, not around the old paper form. Self-service is the norm.

5

Intelligent

Systems predict and recommend. HR decides with models, and answers for them.

One ladder, three vocabularies

Your Week 1 note calls these Nascent, Emerging, Digitized, Defined, Advanced, after Kane and Deloitte. The HRIS literature calls them the Kavanagh maturity stages. Practitioner audits call them Paper, Point-solution, Integrated, Optimized. **Same ladder. Know all three, and say which one you are using.**

WHERE THE LADDER ACTUALLY BREAKS

Two gaps, and neither is a software problem

LEVEL 2 → 3

The integration gap

Crossing it requires agreeing a single definition of an employee across functions that have each had their own. The obstacle is political, not technical — somebody's version of the truth has to lose.

LEVEL 3 → 4

The capability gap

Crossing it requires people who can redesign a process, not merely operate one. Organizations buy the software and discover the constraint was the skill profile of the HR function itself.

WORKED ILLUSTRATION

Maturity is a profile, not a score

In the GreenLeaf workbook, payroll sits at Level 4 while people analytics runs at 10% automation and workforce planning at 8%. A single organizational number would have concealed that. **The diagnosis lives in the spread between the strongest process and the weakest.**

BERSIN — ANALYTICS MATURITY

The analytics ladder: four questions

Tier	The question it answers	What must be true before it works
1 Reactive reporting	What happened?	Headcount that agrees with itself. One definition of “employee”.
2 Proactive reporting	What is happening, and where?	Scheduled, segmented, trusted reporting that refreshes without a person assembling it.
3 Strategic analytics	Why is it happening?	Joins across systems — performance to engagement to exit — and someone who can reason about cause.
4 Predictive analytics	What will happen, and what should we do?	History deep enough to learn from, an owner for the model, and a governance answer for when it is wrong.

Each rung is a **data-quality contract**, not a software purchase. Tier-4 software installed on tier-1 data does not fail visibly — it produces output that is fast, confident and wrong, which is considerably worse than no output at all.

PUTTING THE TWO LADDERS SIDE BY SIDE

The plumbing and the thinking can diverge

	Kavanagh — systems maturity	Bersin — analytics maturity
Unit of analysis	The HR process and the system that runs it	The question the organization can answer with its data
Constraint it exposes	Integration and process design	Data quality, joins and analytical skill
Fails when	A capability is bought above the foundation that supports it	A question is asked that the data cannot honestly answer
Blind to	Whether anyone uses the integrated system	Whether the answer is acted on, or is politically survivable

Illustration: an organization can hold a mature payroll system and a predictive attrition model at the same time as an analytics platform that 38 of its 90 licensed users have ever opened. High on one ladder, near the floor on the other. **Two ladders, because one number would hide that.**

THE CRITIQUE

What maturity models cannot tell you

They assume one path

Every organization is held to climb the same ladder in the same order. Sector, size and regulatory setting may make a different route rational.

They describe, they do not explain

A model can place you at Level 2. It cannot say why you are there, nor whether climbing will improve any outcome you care about.

Higher is assumed to be better

The normative claim is rarely defended. Level 5 costs money and governance capacity; for some organizations Level 3 is the efficient stopping point.

Most are vendor-authored

Many maturity models are published by firms that sell the remedy for immaturity. That does not make them false. It does make the destination worth questioning.

Use them as they are good for: **a shared vocabulary and a sequencing discipline.** They tell you what must exist before something else can work. They do not tell you what your organization should want.

WESTERMAN, BONNET & McAFEE (2014)

Two axes instead of one ladder

The *Leading Digital* study separates what a firm can build from whether it can govern what it builds. **Digital capability** on one axis; **leadership capability** — vision, governance, engagement — on the other. Four positions follow.

HIGH DIGITAL · LOW LEADERSHIP

Fashionistas

Many bright tools, bought locally, none coordinated. Real spending, little value. Investment outruns governance.

HIGH DIGITAL · HIGH LEADERSHIP

Digirati

Investment and direction move together. The study finds this group outperforms its industry peers on the financial measures examined.

LOW DIGITAL · LOW LEADERSHIP

Beginners

Little digital activity and little appetite for it. Sometimes ignorance, sometimes a considered judgment that the returns are not there yet.

LOW DIGITAL · HIGH LEADERSHIP

Conservatives

Cautious, coordinated, under-invested. Slow to move, but what they do build tends to work and to be used.

The claim that makes the second axis matter

A Conservative can end up ahead of a Fashionista. **Spending on technology without the capacity to direct it is not partial progress — it can be worse than restraint**, because it hardens fragmentation that must later be undone.

WHERE THE MODEL COMES FROM

The divide was redefined twice

1990s · FIRST LEVEL

A question of connection

The divide was framed as a binary: who has a computer and a line, and who does not. Policy followed — build infrastructure, distribute devices.

2000s · SECOND LEVEL

A question of capability

Access spread, and inequality did not close. Van Dijk and others showed that skills and usage patterns diverged sharply among people who were all, formally, connected.

2010s · THIRD LEVEL

A question of benefit

Helsper and others moved the question again: who actually obtains a tangible outcome — the job, the entitlement, the refund — from being online? Equal use, unequal return.

Why the history matters

Each redefinition happened because the previous remedy was applied, worked, and left the inequality standing. **The layers are not three descriptions of one problem. They are three problems, discovered in sequence.**

THE MODEL APPLIED TO AN ORGANIZATION

Three layers, three different remedies

LAYER 1

Access

Can the person physically reach the system? Device, connectivity, bandwidth, cost of data, language of the interface, whether the handset is shared.

Remedy: design and procurement. No amount of training fixes a feature phone.

LAYER 2

Skills

Given access, can they operate it confidently — including without fear of making a visible mistake in a system their supervisor can see?

Remedy: capability building. In the language people actually use, at a time they are paid for.

LAYER 3

Use

Given access and skill, do they obtain the benefit — or log in once, fail to find what they needed, and go back to asking the supervisor?

Remedy: redesign and incentive. Observable only in behavior, never in attributes.

The diagnostic error to avoid

A remedy aimed at the wrong layer is worse than none, because it spends the budget and produces a report saying the problem was addressed. Train a feature-phone user and the completion metric moves while nothing changes.

THE INDIAN LAYER

Why the divide runs *inside* the firm here

Mobile-first, not mobile-only by choice
For a large part of the Indian workforce the smartphone is the first and only computing device ever owned. Interfaces designed for a desk assume a device history that does not exist.

Language is an access question, not a courtesy
An English-only interface converts a literate worker into an excluded one. Localization belongs at layer 1, with procurement, not at layer 2 with training.

Public rails change what is possible
India Stack, DigiLocker and Aadhaar-based verification make onboarding flows feasible here that global vendors never built — and raise consent questions of their own.

The structural point

In a multi-site Indian firm the corporate office is moderately digitized and the store floor and warehouse are largely manual. **The divide is not between the firm and the outside world. It is between two halves of the same payroll.**

Which is why an organizational average is the wrong statistic, and a distribution by location tier and device is the right one.

THE COMPLIANCE FRAME, PART ONE

The DPDP Act 2023, read as a design constraint

The employee is a Data Principal
Employment does not extinguish a person's rights over data about them. The employer is the Data Fiduciary and answers for every processor and vendor it engages.

Notice, purpose limitation, minimization
Data collected for one stated purpose cannot quietly become a feature in another system. Collect what the purpose requires; retain it only while that purpose lives.

Rights the software must be able to execute
Access, correction, erasure and grievance redressal. If a correction in the system of record cannot propagate downstream, the right exists on paper only.

Why this is an architecture question

Purpose limitation and the correction right are **not policy commitments. They are system requirements** — they determine what the data model must record and what the integrations must be able to do.

A privacy obligation discovered after the architecture is fixed costs several times what the same obligation costs when it is designed in.

THE COMPLIANCE FRAME, PART TWO

The Code on Social Security, 2020

The first Indian statute to give **gig worker** and **platform worker** legal definitions, and to place welfare obligations on the aggregator — without converting those workers into employees.

A third status

Indian labor law had recognized employees and independent contractors. Platform work fell between them. The Code creates a category that carries entitlements without carrying employment.

Aggregator contribution

1–2% of annual turnover, capped at 5% of the amounts paid to gig and platform workers, into a social security fund for their benefit.

Registration is the gateway

Benefits follow registration. An eligible but unregistered worker is a compliance failure attributable to the aggregator, not to the worker.

The question the Code does not answer

Eligibility turns on hours and earnings. On a platform, hours and earnings are set by an allocation algorithm. **So an opaque algorithm decides who becomes eligible for a statutory benefit** — and the Code says nothing about the algorithm.

THE POINT OF THE WHOLE HOUR

Every framework today answers the same underlying question: *what has to be true first?*

Kotter: belief must precede action. Kavanagh: the foundation must precede the capability. Bersin: the data must precede the question. Westerman: the capacity to direct must accompany the capacity to buy. The divide model: access precedes skill, and skill precedes benefit. The statutes: the obligation precedes the business case entirely.

Going deeper: the theory underneath maturity and alignment

The next slides set out Nolan's stages and its critics, the Capability Maturity Model, Henderson and Venkatraman, and what maturity models are for: what each claims, how it works, where it breaks, and what it means at GreenLeaf.

THEORY IN DEPTH · NOLAN (1973); KING AND KRAEMER (1984)

Stage models: influential, and contested

THE CORE IDEA

Nolan proposed that computing in firms grows through fixed stages: initiation, contagion, control, integration.

HOW IT WORKS

Spending follows an S-curve; each stage creates the problems the next stage solves.

LIMITS AND CRITIQUE

King and Kraemer (1984) found weak empirical support: firms did not move through the stages as predicted.

AT GREENLEAF

Treat a maturity stage as a description of GreenLeaf now, not a forecast of what must come next.

THEORY IN DEPTH · PAULK ET AL. (1993)

The Capability Maturity Model judges processes

THE CORE IDEA

Built at Carnegie Mellon for software: maturity means repeatable, defined, measured processes.

HOW IT WORKS

Five levels: initial, repeatable, defined, managed, optimizing. Each level rests on the one below.

LIMITS AND CRITIQUE

It can reward paperwork over results, and it suits stable processes better than fast-changing ones.

AT GREENLEAF

GreenLeaf's recruitment by shared inbox is level 1: it works only because particular people know how.

THEORY IN DEPTH · HENDERSON AND VENKATRAMAN (1993)

IT must fit strategy on two dimensions

THE CORE IDEA

The Strategic Alignment Model links business strategy, IT strategy, organization and IT infrastructure.

HOW IT WORKS

Strategic fit joins strategy to infrastructure; functional integration joins business to IT.

LIMITS AND CRITIQUE

Alignment can become rigidity when strategy shifts faster than systems.

AT GREENLEAF

GreenLeaf's strategy depends on Tier 2 and Tier 3 frontline growth; its HR systems serve the head office. That is misalignment.

THEORY IN DEPTH · PÖPPELBUSS AND RÖGLINGER (2011)

Ask what a maturity model is for

THE CORE IDEA

Maturity models serve three purposes: describing where you are, prescribing what to do, or comparing firms.

HOW IT WORKS

A good descriptive model needs clear criteria; a good prescriptive one also needs actions that improve the score.

LIMITS AND CRITIQUE

Many published models describe without prescribing, and few are tested.

AT GREENLEAF

In Round 1, say which purpose your chosen model served. A description alone does not justify a priority.

Three things to carry out of this room

1

A maturity model is a sequencing discipline, not a destination.

It tells you what must exist before the next thing can work. It does not tell you what your organization should want, and most were written by firms that sell the remedy.

2

One number hides more than it shows.

Kavanagh measures the plumbing, Bersin the thinking, Westerman the capacity to direct either. A firm can be strong on one and near the floor on another — and spending without direction can be worse than restraint.

3

Exclusion and obligation are diagnoses, not afterwords.

Access, Skills and Use are three problems with three remedies, and an average conceals all of them. The DPDP Act and the Code on Social Security set requirements no business case can override.

READING AND BRIDGE

Where to read each of these properly

In the shared readings folder

All four are now in **Unit-1**. Core: Westerman, Bonnet & McAfee, *Leading Digital*, Ch. 1–2 · Kavanagh & Johnson, *HRIS*, maturity chapter. Supplementary: the DPDP Act 2023 · Fitz-enz & Mattox on predictive analytics.

In your own teaching notes

Week 1, Section 1.1 — the Westerman grid and its four archetypes · Week 1, Section 1.3 — the five-level ladder with diagnostic indicators · Week 2, Section 2.1 — the analytics dimension

Not yet filed — this session is your source

Kotter, *Leading Change* · the three-level digital divide (van Dijk, Helsper) · the Code on Social Security, 2020. A primer covering all three is being prepared.

Coming next

L2 — applying the diagnosis: how a pattern becomes a claim about cause, and how to decide which constraint binds first.

Unit II — the architecture a diagnosis leads to: HRIS, ATS, LMS and the integration layer.

Lewin and the full eight-step treatment of Kotter come in the change-management session; the fairness critique of predictive models comes in Unit III.